

Redwood City

Annual and Five-Year

Development Impact Fee Report

Fiscal Year Ending June 30, 2023



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INTRODUCTION AND BACKGROUND

In California, State legislation sets certain legal and procedural parameters for the charging of development impact and water and wastewater capacity fees. This legislation was passed as AB 1600 by the California Legislature and is now codified as California Government Code Sections 66000 *et seq.* ("Mitigation Fee Act"). This State law went into effect on January 1, 1989.

Requirements for Development Impact Fee Reporting

The Mitigation Fee Act imposes certain accounting and reporting requirements with respect to the development impact fees collected. The fees must be deposited in separate accounts to avoid comingling the fees with the City's other revenues or funds. Interest on each development fee fund or account must be credited to that fund or account and used only for those purposes for which the fees were collected.

The Mitigation Fee Act also requires any local agency that imposes development impact fees to prepare an annual report and a five-year report that provide specific information about those fees. This report serves both of those functions and has been prepared for the City of Redwood City for the fiscal year (FY) ending June 30, 2023 in accordance with the provisions of the California Government Code Sections 66006 (b) and 66001 (d).¹

In addition to development impact fees, the City also collects several in-lieu fees and capacity fees. In-lieu fees are an option offered to developers "in lieu," or in place of, providing specific on-site public benefits such as on-site parking or public art requirements. Capacity fees are typically related to utilities such as water or wastewater and are used to cover costs of existing and future public facilities that are of proportional benefit to new development. This report also includes the requisite reporting information for the City's in-lieu fees and capacity fees.

Annual Report

California Government Code Section 66006 (b) requires each local agency that imposes development impact fees under the Mitigation Fee Act to prepare an annual report providing specific information about those fees for the previous fiscal year. Specifically, Section 66006 (b) requires that for each separate account, the local agency shall make available to the public the information shown below for the most recent fiscal year.

- 66006 (b) (1) (A): A brief description of the type of fee in the account or fund.
- 66006 (b) (1) (B): The amount of the fees.

¹ The water and wastewater capacity and facility fees are subject to the reporting requirements in Government Code section 66013(d), rather than the requirements in sections 66006(b) and 66001(d). Since the information required by sections 66006(b) and 66001(d) encompasses the information required by 66013(d), the City is complying with the water and wastewater capacity and facilities fee reporting requirements by including them in this AB 1600 report.

- 66006 (b) (1) (C): The beginning (July 1) and ending (June 30) balance of a particular impact fee fund or account.
- 66006 (b) (1) (D): The amount of the fees collected and interest earned by fund or account.
- 66006 (b) (1) (E): An identification of each public improvement upon which fees were expended and the amount of expenditures on each improvement including the total percentage of the cost of the public improvement that was funded with fees.
- 66006 (b) (1) (F):
 - (i) An identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement.
 - (ii) An identification of each public improvement identified in a previous report pursuant to clause (i) and whether construction began on the approximate date noted in the previous report.
 - (iii) For a project identified pursuant to clause (ii) for which construction did not commence by the approximate date provided in the previous report, the reason for the delay and a revised approximate date that the local agency will commence construction.²
- 66006 (b) (1) (G): A description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.
- 66006 (b) (1) (H): A summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

State law requires the City to prepare and make available to the public the above information within 180 days after the last day of each fiscal year. The City Council must review the annual report at a regularly scheduled public meeting not less than fifteen days after the information is made available to the public. This report was posted on the City's website and made available for public review at the Library on December 22, 2023 and at the City Clerk's office prior to December 27, 2023.

Five-Year Report

California Government Code Section 66001 (d) (1) requires the local agency make all the following findings every fifth year with respect to that portion of the account remaining

² Subsections (ii) and (iii) were added to section 66006(b)(1)(F) by AB 516, which will take effect January 1, 2024. As such, these requirements do not apply to the City's AB 1600 report for FY 2022/23, but the City has chosen to comply with the future law.

unexpended, whether encumbered to a specific project or remaining unencumbered in an impact fee fund.

- 66001 (d) (1) (A): Identify the purpose to which the fee is to be put.
- 66001 (d) (1) (B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001 (d) (1) (C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001 (d) (1) (D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

Establishing a Reasonable Relationship Between the Fee and the Purpose for Which It Is Charged (Nexus)

Development impact fees provide the proportionate share of the funding for the City's capital facilities needs that can be reasonably attributed to new growth in the City. The revenue from development impact fees, in turn, provides the transportation facilities, parkland and park improvements, affordable housing, and other improvements necessary to mitigate the impacts of new residential, commercial, and industrial development on the City of Redwood City and its residents and businesses. To ensure a reasonable relationship between the fee and the purpose for which it is charged, development impact fees must be supported by a Nexus Study.³ A Nexus Study identifies the reasonable relationship between the fee and the purpose based on mathematical calculations that consider future development, the facilities and infrastructure needed to serve that future development, and the estimated costs of those improvements. These mathematical calculations establish the relationship between contemplated future development, the facilities needed to serve that development, and the estimated costs of those improvements based on the City's Capital Improvement Programs (CIP). The fees are then used to fund facilities and infrastructure necessary to serve new development and/or benefit the broader community.

Funding of Infrastructure

The State of California Government Code Section 66002 states that local agencies that developed a fee program may adopt a Capital Improvement Program indicating the approximate location, size, and timing of projects, plus an estimate for the cost of all facilities or improvements to be financed by fees.

³ AB 602 requires Nexus Studies to be complete prior to the adoption of each impact fee and must be updated every eight years.

The City of Redwood City has developed and adopted a CIP, which is updated every year during the normal fiscal budget process. The City also maintains a Five-Year Capital Improvement Plan which offers a longer-term outlook on needed capital improvements. This Plan serves as a fiscal and strategic tool to plan, fund, prioritize and monitor capital improvements in the Community. The City's current, adopted 2023/28 Capital Improvement Program can be found on the City's website at www.RedwoodCity.org/CIPProjects.

As a CIP project is identified, the project is evaluated to determine the portion of the project that will serve existing residents and businesses versus new development. This analysis is used to determine the portion of the project that is eligible to receive impact fee funding. The anticipated funding and commencement dates for projects are indicated and may be adjusted, as needed, to reflect the needs of the community, funding constraints, and development priorities. Any modification of impact fee funding within the CIP requires Council action. Mid-year CIP budget adjustments may occur as needed wherein staff seeks City Council approval to modify the CIP list of projects, or to modify the budget allocated to specific CIP projects.

AB 602 provides further specification and requires adoption of a CIP along with the adoption of a fee program for all fee programs adopted on or after January 1, 2022. Under Government Code 66016.5, AB 602 requires that "large jurisdictions shall adopt a capital improvement plan as a part of the nexus study."

ANNUAL REPORT

Description of Impact Fee Programs

66006(b)(1)(A) and 66013(d)(1)

The City has three development impact fee programs. Per City policy, the Parks Impact Fee and Affordable Housing Impact Fee are charged to new residential and nonresidential developments that meet certain criteria, while the Transportation Impact Fee is charged to all new development.

- 1. Transportation Impact Fee.⁴** The transportation impact fee is a one-time charge that the City charges on new residential and nonresidential development to fund a proportionate share of the cost of transportation improvement projects and transportation system improvements necessary to mitigate the transportation impacts of new development within Redwood City. Improvements include construction of traffic and multi-modal transportation improvements and traffic reduction measures. In addition to the Citywide Transportation Impact Fee, the City also collects fair share contributions from projects to fund specific transportation improvements or portions of transportation improvements, the costs of which were not included in the 2012 Transportation Impact Fee program. Since the full costs of the fair share impact fee projects will be included in the 2024 Transportation Impact Fee Program, the revenue from the fair share fees have been incorporated into the Transportation Impact Fee account, which will be used to fund the fair share impact fee projects. The Program provides an equitable method for allocating the cost of reasonable and necessary transportation improvements between the public and private sector, in accordance with the intent and purpose of the Transportation Impact Fee Ordinance as set forth in Redwood City Municipal Code Section 18.246.
- 2. Park Impact Fee.⁵** The Park Impact Fee is a one-time charge that the City charges on new residential and nonresidential development to fund the installation, acquisition, construction, and improvement of park improvements listed in the Park Impact Fee Project List, including the acquisition of land necessary for such improvements. The purpose is to augment recreational opportunities through the improvement of the City's parks system to compensate for increased demand for City parks brought about by new development and the associated increase in population.
- 3. Affordable Housing Impact Fee.⁶** The Affordable Housing Impact Fee is a one-time charge that the City charges on new nonresidential development with more than five thousand (5,000) square feet of net new construction or residential development projects

⁴ https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH18LOIMPL_ARTXVTRIMFE

⁵ https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH18LOIMPL_ARTXVIPAIMFE

⁶ https://library.municode.com/ca/redwood_city/codes/zoning_code?nodeId=ART29REAFHO_29.5PAHOIMFE

between five (5) to nineteen (19) units. The fee is used to mitigate the impact of development projects on the need for affordable housing in the City, by fully funding or subsidizing the construction of housing that is affordable to extremely, very low, low, and moderate incomes, consistent with the goals and policies contained in the City's Housing Element. The fee may also be used to fund the preparation of related technical studies.

Description of In-Lieu Fee Programs

The City has three in-lieu fee programs, including Downtown Parking, Affordable Housing, and Art in Public Places. These in-lieu fees provide developers an option to satisfy on-site requirements with a one-time payment.

- 1. Downtown Parking In-Lieu.⁷** The Downtown Parking In-Lieu Fee allows new developments located within the Downtown Parking Zone, subject to the eligibility requirements of the program, to provide a fee payment in lieu of providing parking spaces onsite. The fee is used to expand the capacity of parking spaces for public use within the Downtown Parking Zone and may also be used to enhance parking capacity by managing demand for parking through the creation of a Transportation Demand Management program.
- 2. Affordable Housing In-Lieu.⁸** The City accepts payment of an Affordable Housing In-Lieu Fee for fractional units resulting from the calculation of inclusionary requirements. The City may also accept payments of an Affordable Housing In-Lieu Fee in place of construction of on-site units if certain findings can be made pursuant to Section 29.8.B. of the City's zoning code. The fee is established by resolution of the City Council and updated from time to time. Affordable housing in-lieu fees shall not exceed the fractional cost of providing an affordable unit. The in-lieu fee and the Affordable Housing Impact Fee are currently set at the same rate because the impact fee represents the proportionate costs of providing an affordable unit. Similar to the Affordable Housing Impact Fee, the fee is used to fully fund or subsidize the construction of housing that is affordable to extremely low, very low, low, and moderate incomes, consistent with the goals and policies contained in the City's Housing Element and may also be used to fund the preparation of related technical studies.
- 3. Art in Public Places.⁹** The Art-in-Public Places In-Lieu Fee allows new commercial developments exceeding 50,000 square feet to make a payment instead of providing an on-site art installation. The purpose of the Fee is to support art in public places by maintaining, refurbishing, preserving, or providing public art.

⁷ https://library.municode.com/ca/redwood_city/codes/zoning_code?nodeId=ART30OREPALO_30.3EUPAFE

⁸ https://library.municode.com/ca/redwood_city/codes/zoning_code?nodeId=ART29REAFHO_29.4REINAFHO

⁹ Section D of https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH45PUAR_S45.090PRPUVIARCEPRDE

Description of Capacity Fee Programs

In FY 2022/23, the City had four capacity fees. Capacity fees are typically related to utilities such as water or wastewater and are used to cover costs of existing and future infrastructure systems that can accommodate increased demand by new development.

- 1. Wastewater Treatment Capacity.¹⁰** The Wastewater Treatment Capacity Fee (also sometimes referred to as the "Sewer Treatment Capacity Fee") fee is a one-time charge that the City collects on behalf of Silicon Valley Clean Water ("SVCW"). This passthrough fee is imposed on residential and non-residential customers that require new or expanded connections to the City's wastewater system. The purpose of this fee is to provide funding to compensate SVCW for the additional capacity required for new or expanded wastewater connections within the City. Wastewater Treatment Capacity fees are deposited into Account 688 and passed through to Silicon Valley Clean Water at the close of each fiscal year. As such, the Water Treatment Capacity account balance is \$0 each year, and the City does not direct or control project-specific expenditures.
- 2. Wastewater Facilities.¹¹** The Wastewater Facilities Fee is a one-time charge that is imposed on new development. The fee was established to provide for the use and construction of existing and future sanitary sewerage system capital facilities so that the facilities include the capacity required to serve new development. Eligible expenditures are included in the City's CIP and include the construction and improvement of existing and future sewer facilities such as treatment plants, pipelines, or other facilities.
- 3. Water Capacity Fee.¹²** The Water Capacity Fee is a one-time charge that the City imposes on residential and non-residential customers to provide for recycled water capital facilities that improve the City's ability to supply water within the City's service area, by increasing the supply available and reducing demand for potable water.
- 4. Water Facilities Fee.¹³** The Water Facilities Fee is a one-time charge that is imposed on new development that was established to provide for the use and construction of existing and future water system capital facilities so that the facilities can capacity to serve new development. Eligible expenditures are included in the City's CIP and include the construction and improvement of existing and future water facilities. In addition to the Citywide Water Facilities Fee, the City has also collected fair share contributions from projects to fund specific water system improvements, such as the water tank, the costs

¹⁰

https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH27SASEFA_ARTIXFECH_S27.101WATRCACHFACH

¹¹

https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH27SASEFA_ARTIXFECH_S27.101WATRCACHFACH

¹²

https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH38WASYRE_ARTIIICOF_S38.15WACH

¹³

https://library.municode.com/ca/redwood_city/codes/city_code?nodeId=CH38WASYRE_ARTIIICOF_S38.14FAFE

of which were not included in the currently adopted Water Facilities Fee program. Since the full costs of the fair share projects will be included in the 2024 Water Capacity Fee Program, the revenue from the fair share fees have been incorporated into the Water Facilities Fee Account, which will be used to fund the fair share water fee projects.

Current Fee Schedules

66006(b)(1)(B)

The following section sets forth the fees that were in effect during the fiscal year ending June 30, 2023.

Development Impact Fees

Transportation Impact Fees

The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 1**.

Table 1 FY 2022/23 Transportation Impact Fees

Item	Non-Downtown Fee	Downtown Fee
Residential Uses		
Single Family Residential	\$1,617 per dwelling unit	\$1,212 per dwelling unit
Multi-Family Residential	\$992 per dwelling unit	\$744 per dwelling unit
Congregate Care Facility	\$272 per dwelling unit	\$204 per dwelling unit
Below-Market-Rate Housing	\$695 per dwelling unit	\$521 per dwelling unit
Non-Residential Uses		
Industrial	\$1.55 per square foot	\$1.16 per square foot
Warehousing	\$0.51 per square foot	\$0.39 per square foot
Hotel	\$945 per room	\$709 per room
Motel	\$753 per room	\$564 per room
Movie Theater	\$128 per seat	\$96 per seat
Private School (K-12)	\$272 per student	\$204 per student
Church	\$0.88 per square foot	\$0.66 per square foot
Office	\$2.38 per square foot	\$1.79 per square foot
Medical Office Building	\$5.54 per square foot	\$4.15 per square foot
Research and Development	\$1.71 per square foot	\$1.28 per square foot
General Retail (Shopping Center)	\$0.94 per square foot	\$2.96 per square foot
Supermarket	\$10.75 per square foot	\$8.07 per square foot
Convenience Store	\$32.72 per square foot	\$24.54 per square foot
Pharmacy/Drug Store without Drive Through	\$6.33 per square foot	\$4.76 per square foot
Bank	\$10.29 per square foot	\$7.72 per square foot
Quality Restaurant	\$6.72 per square foot	\$5.04 per square foot
High Turnover Restaurant	\$10.17 per square foot	\$7.63 per square foot
Fast Food Restaurant with Drive-Through Window	\$27.08 per square foot	\$20.31 per square foot
Service Station	\$12,878 per fueling position	\$9,658 per fueling position
Service Station with Convenience Market	\$9,424 per fueling position	\$7,046 per fueling position

Park Impact Fees

In May 2022, the City Council adopted updated Parks Impact Fees supported by the Park Impact Fee Nexus Study (2022). Updated residential Park Impact Fees were adopted under a phase-in approach. Under this approach, the Parks Impact Fees for residential development would be set at 50 percent of the nexus-based maximum rates supported by the Park Impact Fee Nexus Study for 12 months starting on July 22, 2022, and then 100 percent of the maximum rates supported thereafter.¹⁴ The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 2**.

Table 2 FY 2022/23 Parks Impact Fees

Item	July 1, 2022 - July 21, 2022	July 22, 2022 - June 30, 2023
Residential Uses		
Single Family	\$15,165 per dwelling unit	\$23,707 per dwelling unit
Multi-Family		\$20,355 per dwelling unit
Ownership (8-20 Units)	\$12,730 per dwelling unit	Not Applicable
Ownership (21+ Units)	\$10,003 per dwelling unit	Not Applicable
Rental (8-20 Units)	\$13,639 per dwelling unit	Not Applicable
Rental (21+Units)	\$13,253 per dwelling unit	Not Applicable
Bedroom Addition	Not Applicable	\$9,162 per room
ADU	Not Applicable	(Proposed ADU Size / Existing or Proposed Home Size) X SFH (non-subdivision) rate
Non-Residential Uses		
Office	Not Applicable	\$7.86 per square foot
Commercial	Not Applicable	\$5.40 per square foot
Industrial	Not Applicable	\$2.54 per square foot
Hotels	Not Applicable	\$3,326 per room

¹⁴

<https://meetings.redwoodcity.org/AgendaOnline/Documents/ViewDocument/STAFF%20REPORT.PDF.pdf?meetingId=2339&documentType=Agenda&itemId=7658&publishId=11125&isSection=false>

Affordable Housing Impact Fees

The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 3**.

Table 3 FY 2022/23 Affordable Housing Impact Fees

Item	Affordable Housing Impact Fee per Sq.Ft.
Residential Uses	
Single Family	\$25.00
Townhome/Duplex/Triplex	\$25.00
Condos and Apartments	\$20.00
Non-Residential Uses	
Office	\$23.62
Medical Office	\$23.62
Research and Development	\$23.62
Hotel	\$5.91
Retail	\$5.91
Restaurant	\$5.91
Services	\$5.91

In-Lieu Fees

Downtown Parking In-Lieu Fee

The City may accept payment of a Parking In-Lieu Fee of required onsite parking if certain findings can be made. The in-lieu fee in effect during the fiscal year ending June 30, 2023 is \$25,000 per space not provided on-site.

Affordable Housing In-Lieu Fee

The City may accept payment of Affordable Housing In-Lieu fees for fractional units. The in-lieu fees are not to exceed the fractional cost of providing an affordable unit. The affordable housing in-lieu fee in effect during the fiscal year ending June 30, 2023 is the same amount as the Affordable Housing Impact Fee rates.

Art-In-Lieu Fee

The City may accept payment of a fee in-lieu of providing publicly accessible onsite art that is equal in value to at least one (1) percent of the project's construction valuation for commercial developments that have a gross floor area of 50,000 square feet or more. The Art In-Lieu fee is required to match or exceed this amount in the fiscal year ending June 30, 2023.

Capacity Fees

Wastewater Treatment Capacity Fee

The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 4**.

Table 4 FY 2022/23 Wastewater Treatment Capacity Fee

Item	Wastewater Treatment Capacity Fee
<u>Residential</u>	
Single Family, Condos and Townhouses	\$2,135.70 per unit
Duplex	\$3,480.40 per unit
Multi-Dwelling Unit (rental) Structures/ In-Law Dwelling Unit	\$1,423.80 per unit
<u>Non-Residential [1]</u>	
Office/ Commercial (other than retail)	\$0.95 per square foot
Motel	\$1,265.60 per room
Hotel	\$1,463.35 per room
Restaurants	\$229.39 per seat
General Hospitals	\$2.06 per square foot
Medical Offices (other than hospitals)	\$1.34 per square foot
Research and Development	\$1.66 per square foot
School/Classroom	\$13.84 per square foot
Health Club	\$3.96 per square foot
Manufacturing Areas	\$1.19 per square foot
Nurseries (Day Care)	\$16.95 per square foot
Storage Facilities	\$0.03 per square foot
Children's Homes and Homes for the Aged	\$7.42 per square foot
Rooming House	\$1.58 per square foot
Boarding House	\$1.98 per square foot

[1] Non-residential fees are calculated by multiplying \$7.91 by the estimated volume of wastewater discharge per day (V).

Sewer System Capital Facilities Fee Facilities Fee

The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 5**.

Table 5 FY 2022/23 Sewer System Capital Facilities Fee

Item	Sewer System Capital Facilities Fee
Residential	\$960 per dwelling unit
Commercial [1]	\$0.48 per square foot

[1] Calculated by dividing \$960 by the 2,000 square feet (dwelling unit equivalent). Minimum fee is \$960.

Water Capacity Charge

The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 6**.

Table 6 FY 2022/23 Water Capacity Fee

Water Capacity Charge [1]
\$11.58 per gallon per day of projected net new demand on both indoor and outdoor uses

[1] Attached and detached residential additions including ADUs and rebuilds of an existing single family house are exempt.

Water System Capital Facilities Fee

The fees in effect during the fiscal year ending June 30, 2023 are presented below in **Table 7**.

Table 7 FY 2022/23 Water System Capital Facilities Fee

Meter Size	Water System Capital Facilities Fee
5/8"	\$1,787.00
3/4"	\$2,680.50
1"	\$4,467.50
1-1/2"	\$8,935.00
2"	\$14,296.00
3"	\$26,805.00
4"	\$44,675.00
6"	\$89,350.00

Annual Financial Summary

The following tables respond to Government Code Section 66006(b)(1)(C), (D), and (E) and for the water and wastewater fees Section 66013(d)(2), (3), and (4)(A) and (B).¹⁵

Development Impact Fee Accounts

Transportation Impact Fees Table 8 Transportation Impact Fee Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees [1]	\$7,366,414
Interest [2]	\$310,831
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$7,677,244
EXPENDITURES	
Capital Improvements	\$282,231
Other Expenditures [3]	\$1,325
Total Expenditures	\$283,556
REVENUES OVER (UNDER) EXPENDITURES	\$7,393,689
Balance, Beginning of Year [4]	\$8,437,067
Balance, End of Year	\$15,830,756

[1] Revenues include Citywide Transportation Fees and developer fair share payments for their proportionate share of the costs of transportation improvements that will be funded by the transportation impact fee program.

[2] Interest is calculated on end-of-year balance and net of financial investment management charges.

[3] Other expenditures include professional/technical consulting services and staff oversight to prepare the Traffic Impact Fee Nexus Study.

[4] FY 2022/23 beginning of year balance is the end of year balance as reported in FY 2021/22 AB 1600 Annual Report.

¹⁵ 66013(d) is specific to water and wastewater capacity and facility fees.

Table 9 Transportation Impact Fee: FY 2022/23 Expenditures

Improvement Name	FY 2022/23 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2022/23 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Blomquist Avenue Extension Project – 101 Undercrossing	\$221,996	\$29,000,000	2025	0.8%
Traffic Signal Replacement Program (70275)	\$11,724	\$7,995,000	Ongoing Program	0.1%
Traffic Calming (70553)	\$7,175	\$3,370,000	Ongoing Program	0.2%
Roosevelt Avenue Traffic Calming (85077)	\$35,750	\$2,100,000	2024	1.7%
Hopkins Traffic Calming (75637)	\$5,586	\$2,000,000	2023	0.3%
Subtotal, Capital Expenditures	<u>\$282,231</u>			
<u>OTHER EXPENDITURES</u>				
Traffic Impact Fees Study (71093)	\$1,325	\$150,000		
Subtotal, Other Expenditures	<u>\$1,325</u>			
TOTAL EXPENDITURES	<u><u>\$283,556</u></u>			

Park Impact Fees

Table 10 Parks Impact Fee Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$504,593
Interest [1]	\$0
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$504,593
EXPENDITURES	
Capital Improvements	\$3,296,392
Loan Payments	\$0
Other Expenditures [2]	\$9,819
Total Expenditures	\$3,306,211
REVENUES OVER (UNDER) EXPENDITURES	(\$2,801,618)
Account Balance, Beginning of Year [3]	(\$149,353)
Adjustment for Unaudited Fund Balance [4]	\$214,710
Adjusted Account Balance, Beginning of Year	\$65,357
Account Balance, End of Year [5]	(\$2,736,261)

[1] Zero interest in FY 2022/23 due to negative balance as of end of year.

[2] Other Expenditures include staff management of park improvement capital expenditures and staff oversight to prepare the Park Impact Fee Nexus Study.

[3] FY 2022/23 beginning of year balance is the end of year balance as reported in FY 2021/22 AB 1600 Annual Report.

[4] Reflects adjustment for encumbered but not yet spent funds.

[5] Does not account for unrealized gains/losses on investments in the total of \$104,602.

Table 11 Parks Impact Fee: FY 2022/23 Expenditures

Improvement Name	FY 2022/23 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2022/23 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Hoover Pool Conversion Project	\$153,856	\$5,000,000	2022/23	3.1%
Playground Equipment Amenity Additions	\$92,675	\$500,000	Ongoing Program	18.5%
RWS Library Playground	\$87	\$680,000	2022/23	0.0%
Parks Needs Assessment Study	\$9,499	\$190,000	2018/19 (Complete)	5.0%
Community Wellness Center	\$3,023,660	\$72,385,000	2021/22	4.2%
Downtown Park Planning/Construction	\$7,000	\$3,000,000	2022/23	0.2%
Jardin de Ninos Renovation	\$252	\$533,932	2021/22	0.0%
World Trade Center Steel Memorial Study	\$8,523	\$9,000	2022/23 (Complete)	94.7%
Amenity Upgrades at Red Morton Park [1]	\$840	\$200,000	2021/22 (Complete)	0.4%
Subtotal, Capital Expenditures	<u>\$3,296,392</u>			
<u>OTHER EXPENDITURES</u>				
Administrative Support Services [2]	\$9,819			
Subtotal, Other Expenditures	<u>\$9,819</u>			
TOTAL EXPENDITURES	<u>\$3,306,211</u>			

[1] Amenity upgrades at Red Morton Park include tennis court upgrades and pickle ball striping.

[2] Expenditures include staff management of the Park Impact Fee Nexus Study and CIP projects.

Affordable Housing Impact Fees

Table 12 Affordable Housing Impact Fee Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$4,588,866
Interest [1]	\$94,763
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$4,683,629
EXPENDITURES	
Capital Improvements	\$0
Loan Payments	\$0
Other Expenditures [2]	\$30,024
Total Expenditures	\$30,024
REVENUES OVER (UNDER) EXPENDITURES	\$4,653,605
Account Balance, Beginning of Year [3]	\$2,817,644
Adjustment for Residual Reciept Loans [4]	\$2,698,905
Adjusted Account Balance, Beginning of Year	\$118,739
Account Balance, End of Year	\$4,772,344

[1] Interest calculated on end of year balance.

[2] Other expenditures include professional/ technical consulting services and staff oversight of the Affordable Housing Ordinance update.

[3] FY 2022/23 beginning of year balance is the end of year balance as reported in FY 2021/22 AB 1600 Annual Report.

[4] Reflects residual reciept loans for 1512 Stafford – HIP Housing \$1,087,491; 3752-3770 Rolison Rd (Mosaic Gardens) – MidPen \$1,099,000; and, 353 Main Street – ROEM \$512,414.

Table 13 Affordable Housing Impact Fee: FY 2022/23 Expenditures

Improvement Name	FY 2022/23 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2022/23 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
No Capital Expenditures	\$0	n/a	n/a	n/a
Subtotal, Capital Expenditures	\$0			
<u>OTHER EXPENDITURES</u>				
Affordable Housing Ordinance Administration & Update [1]	\$30,024			
Subtotal, Other Expenditures	\$30,024			
TOTAL EXPENDITURES	\$30,024			

[1] Expenditures include professional/ technical consulting services and staff oversight of the Affordable Housing Ordinance update.

In-Lieu Fee Accounts

Downtown Parking In-Lieu

Table 14 Downtown Parking In-Lieu Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$0
Interest [1]	\$183,975
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$183,975
EXPENDITURES	
Capital Improvements	\$0
Loan Payments	\$0
Other Expenditures	\$0
Total Expenditures	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$183,975
Account Balance, Beginning of Year [2]	\$9,081,195
Account Balance, End of Year [3]	\$9,265,171

[1] Interest calculated on end of year balance.

[2] Beginning of year balance as reported by City staff.

[3] Unaudited end of year account balance.

There were no capital or other expenditures for Fiscal Year 2022/23 to be reported for the Downtown Parking In-Lieu Account.

Affordable Housing In-Lieu

Table 15 Affordable Housing In-Lieu Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$300,000
Interest [1]	\$14,139
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$314,139
EXPENDITURES	
Capital Improvements	\$0
Loan Payments	\$0
Other Expenditures	\$0
Total Expenditures	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$314,139
Account Balance, Beginning of Year	\$625,195
Adjustment for Residual Receipt Loans [2]	\$227,261
Adjusted Account Balance, Beginning of Year	\$397,934
Account Balance, End of Year [3]	\$712,073

[1] Interest calculated on end of year balance.

[2] Reflects residual receipt loans for 353 Main Street – ROEM \$227,261.

[3] Unaudited end of year account balance.

There were no capital or other expenditures for Fiscal Year 2022/23 to be reported for the Affordable Housing In-Lieu Account.

Art in Public Places In-Lieu

Table 16 Art in Public Places In-Lieu Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees [1]	\$0
Interest	\$0
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$0
EXPENDITURES [1]	
Capital Improvements	\$0
Loan Payments	\$0
Other Expenditures	\$0
Total Expenditures	\$0
REVENUES OVER (UNDER) EXPENDITURES	\$0
Account Balance, Beginning of Year [1]	\$0
Account Balance, End of Year [1]	\$0

[1] No in-lieu fee revenues have been collected since establishment of the program.

There were no capital or other expenditures for Fiscal Year 2022/23 to be reported for the Art in Public Places In-Lieu Account.

Capacity Fees

Wastewater Treatment Capacity Fee

Table 17 Wastewater Treatment Capacity Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$834,540
Interest [1]	\$0
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$834,540
EXPENDITURES	
Capital Improvements	\$0
Loan Payments	\$0
Other Expenditures [2]	\$834,540
Total Expenditures	\$834,540
REVENUES OVER (UNDER) EXPENDITURES	\$0
Account Balance, Beginning of Year [3]	\$0
Account Balance, End of Year [4]	\$0

[1] Zero interest earned on a zero balance account.

[2,3,4] The Wastewater Treatment Capacity Fee is a pass-through fee collected by the City on behalf of Silicon Valley Clean Water. Revenues collected are forwarded to SVCW annually, resulting a \$0 beginning of year balance and a zero end of year balance.

There were no capital or other expenditures for Fiscal Year 2022/23 as Wastewater Treatment Capacity fees are collected by the City and passed through to Silicon Valley Clean Water at the close of each fiscal year. As such, the Water Treatment Capacity Account balance is \$0 each year, and the City does not control project-specific expenditures.

Wastewater Facilities Fee

Table 18 Wastewater Facilities Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$517,044
Interest [1]	\$3,197
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$520,241
EXPENDITURES	
Capital Improvements	\$189,687
Loan Payments	\$0
Other Expenditures	\$0
Total Expenditures	\$189,687
REVENUES OVER (UNDER) EXPENDITURES	\$330,554
Account Balance, Beginning of Year	(\$169,545)
Account Balance, End of Year [2]	\$161,009

[1] Interest calculated on end of year balance.

[2] Unaudited end of year account balance.

Table 19 Wastewater Facilities Fee: FY 2022/23 Expenditures

Improvement Name	FY 2022/23 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2022/23 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Sewer Main Replacement with Increased Capacity	\$189,687	\$948,435	2020	20.0%
Subtotal, Capital Expenditures	\$189,687			
<u>OTHER EXPENDITURES</u>				
No Other Expenditures	\$0			
Subtotal, Other Expenditures	\$0			
TOTAL EXPENDITURES	\$189,687			

No projects associated with this account were completed in the Fiscal Year 2022/23.

Water Capacity Fee

Table 20 Water Capacity Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$873,575
Interest [1]	\$7,167
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$880,742
EXPENDITURES	
Capital Improvements [2]	\$750,000
Loan Payments	\$0
Other Expenditures	\$0
Total Expenditures	\$750,000
REVENUES OVER (UNDER) EXPENDITURES	\$130,742
Account Balance, Beginning of Year	\$230,200
Account Balance, End of Year [3]	\$360,942

[1] Interest calculated on end of year balance.

[2] Includes annual bond repayments for recycled water facilities estimated at \$3M, of which 25% is paid for by fee revenue.

[3] Unaudited end of year account balance.

Table 21 Water Capacity Fee: FY 2022/23 Expenditures

Improvement Name	FY 2022/23 Account Expenditures	Total Project Costs [1]	Approximate Date of Project Commencement	FY 2022/23 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Annual Bond Repayments for Recycled Water Facilities [1]	\$750,000	\$3,000,000	n/a	25.0%
Subtotal, Capital Expenditures	\$750,000			
<u>OTHER EXPENDITURES</u>				
No Other Expenditures	\$0			
Subtotal, Other Expenditures	\$0			
TOTAL EXPENDITURES	\$750,000			

[1] Includes annual bond repayments for recycled water facilities such as tanks and pipe extensions estimated at \$3M, of which 25% is paid for by fee revenue. Total project costs are based on repayment schedule.

No projects associated with this account were completed in the Fiscal Year 2022/23.

Water Facilities Fee

Table 22 Water Facilities Account: Statement of Revenue, Expenditures, and Changes in Account Balance for the Fiscal Year Ending June 30, 2023

Description	FY 2022/23
REVENUES	
Fees	\$501,220
Interest [1]	\$168,423
Deferred Revenue	\$0
Other Revenue	\$0
Total Revenues	\$669,644
EXPENDITURES	
Capital Improvements	\$313,974
Loan Payments	\$0
Other Expenditures	\$0
Total Expenditures	\$313,974
REVENUES OVER (UNDER) EXPENDITURES	\$355,670
Account Balance, Beginning of Year [2]	\$8,126,276
Account Balance, End of Year [3]	\$8,481,945

[1] Interest calculated on end of year balance.

[2] Includes balance of previously collected Citywide Water Facilities Fee revenues as well as water tank fair share fees collected and listed in Water Capacity Fee Study (\$8,374,248 and \$107,697, respectively).

[3] Unaudited end of year account balance.

Table 23 Water Facilities Fee: Fiscal Year 2022/23 Expenditures

Improvement Name	FY 2022/23 Account Expenditures	Total Project Costs	Approximate Date of Project Commencement	FY 2022/23 Expenditures as % of Total Costs
<u>CAPITAL EXPENDITURES</u>				
Brookline Watermain Replacement	\$267,400	\$534,800	2021	50.0%
CA Water Tank, Pump Station and Water Transmission Main Project	\$46,574	\$89,533	2021	52.0%
Subtotal, Capital Expenditures	<u>\$313,974</u>			
<u>OTHER EXPENDITURES</u>				
No Other Expenditures	\$0			
Subtotal, Other Expenditures	<u>\$0</u>			
TOTAL EXPENDITURES	<u>\$313,974</u>			

No projects associated with this account were completed in the Fiscal Year 2022/23.

Approximate Date of Construction

66006(b)(1)(F)

Section 66006 (b) (1) (F) of the Mitigation Fee Act requires an identification of an approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement. The City of Redwood City has determined that there are no public improvements for which sufficient funds have been collected to complete financing and begin construction.

Improvements funded with fee revenue are either already under construction and in progress (see FY 2022/23 Expenditures, **Tables 8 through 23**) or identified but still waiting for sufficient funding to accrue before commencing construction. These projects are identified in **Tables 25 through 31**.

As of October 2023, Section 66006 has been amended to include Sections 66006 (F) (ii) and 66006 (F) (iii) which requires:

- A list of public improvements previously identified in the AB 1600 report (FY 2021/22), along with confirmation of whether construction started as planned; and,
- If construction has not begun by the expected date, an explanation for the delay and a new estimated start date.

Projects listed in the City's prior AB 1600 report (FY 2021/22) as anticipated for commencement in FY 2022/23 are presented in **Table 24**. Details for each project are provided in accordance with Sections 66006(F)(ii) and 66006(F)(iii). As shown, all projects slated to commence in FY 2022/23 are underway or are no longer being pursued.

Table 24 Compliance with 66006(F)(ii) and 66006(F)(iii)

Project	Commenced in FY 2022/23? (Y/N)	Reason for Not Commencing, if Applicable	Estimated Date of Project Completion
Transportation Impact Fee Admin/ Updated Nexus Study	Y	N/A	FY 2023/24
Develop and Adopt a Transportation Demand Management Policy	Y	N/A	N/A
Spinas Park [1]	Y	N/A	FY 2024/25
Hawes Field Light Replacement [2]	Y	N/A	FY 2023/24
Pickle Ball Courts [3]	N/A	N/A	FY 2024/25

[1] Improvements at Spinas Park commenced in FY 2022/23 and are ongoing. Current scope of Spinas Park projects no longer anticipated to use impact fee revenue.

[2] The Hawes Field Light Replacement project commenced in FY 2022/23 but no impact fee revenue was used in FY 2022/23.

[3] The Pickle Ball Courts project was removed from the Parks CIP, as the City is not able to identify a suitable location. Instead, the City dual-striped existing tennis courts elsewhere in the City to accommodate pickle ball activities.

Source: Annual AB1600 Compliance Report for Development Impact Fees for Fiscal Year 2021/22

Interfund Transfers or Loans

66006(b)(1)(G) and 66013(d)(5)

Section 66006 (b) (1) (G) of the Mitigation Fee Act requires a description of each interfund transfer or loan made from the account or fund, including the public improvement on which the transferred or loaned fees will be expended; and, in the case of an interfund loan, the terms of the loan, including the repayment schedule for the loan, and the rate of interest that the account or fund will receive on the loan.

In the fiscal year ending June 30, 2023, there were no interfund transfers or loans made from any of the impact fee, capacity fee, or in-lieu fee accounts.

Summary of Refunds

66006(b)(1)(H)

Section 66006 (b) (1) (H) of the Mitigation Fee Act requires a summary of any refunds made, and their respective amount, due to sufficient funds being collected to complete financing of scheduled public improvements and the amount of reallocation of funds made due to administrative costs of refunding unexpended revenues exceeding the amount to be refunded.

At this time, all fees collected have been earmarked for current or future capital projects necessary to maintain the current levels of service to serve new development.

FIVE-YEAR REPORT AND FINDINGS

California Government Code Section 66001(d)(1) requires the City to make findings every fifth year with respect to that portion of each impact fee account that remains unexpended as of June 30, 2023, whether encumbered to a specific project or remaining unencumbered in an impact fee account. Therefore, the City is reporting the following findings relating to each of the fee programs for which a positive account balance is reported.

- 66001(d)(1)(A): Identify the purpose to which the fee is to be put.
- 66001(d)(1)(B): Demonstrate a reasonable relationship between the fee and purpose for which it is charged.
- 66001(d)(1)(C): Identify all sources and amounts of funding anticipated to complete financing in incomplete improvements.
- 66001(d)(1)(D): Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund.

The City is not reporting findings for the Public Art In-Lieu Fee because the program has not collected fee revenue. In addition, it is not required that the City make findings related to the Park Impact Fee because the Park Impact Fee Account has a negative balance as of the end of the fiscal year. However, the fee program is expected to continue to generate revenue, and the Parks Impact Fee Project List was recently updated and reflects the City's current priorities for future capital projects. For these reasons, the City is electing to make findings related to the Park Impact Fee Account.

Transportation Impact Fee

- The transportation impact fee is a one-time charge that the City charges on new residential and nonresidential development to fund transportation system improvements necessitated in whole or in part by new development within Redwood City. Improvements include construction of capital improvements and traffic reduction measures. In addition to the Citywide Transportation Impact Fee, the city also collects fair share contributions from projects, which are used to fund improvements that are funded by the transportation impact fee program. The impact fee program provides an equitable method for allocating the cost of reasonable and necessary transportation improvements between the public and private sector, in accordance with the intent and purpose of the Transportation Impact Fee Ordinance as set forth in Redwood City Municipal Code Section 18.246.A.
- The reasonable relationship between the Transportation Impact Fee and the purposes to which the fee is charged is demonstrated in the Redwood City Traffic Impact Mitigation Fee Study dated February 18, 2000 (2000 Study); the 2012 Redwood City Transportation Impact Mitigation Fee Update, Project Descriptions and Cost Estimates (2012 Study); the enabling Ordinance, and all subsequent City resolutions, or Conditions of Approval. As specified in the Ordinance, new land development generates traffic, necessitating the acquisition of rights-of-way, road construction, road improvements, pedestrian, bicycle and transit improvements, and traffic reduction measures in order to maintain approved levels of transportation service. The fees established do not exceed new development's fair share.
- There is an unexpended balance in the Transportation Impact Fee Account, which is expected to be used to fund intersection and traffic signal improvements, bike and pedestrian circulation improvements, and other operational improvements. All identified improvements are needed to mitigate the impacts of future development on the City's circulation network. Each project is listed below in **Table 25**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 25 Traffic Impact Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Broadway and 5th Avenue Intersection Improvements	Y	2024-25	\$60,000	25%	\$15,000	[1]
Caltrain Grade Crossings	Y	2026-27	\$4,000,000	25%	\$1,000,000	[1]
James Avenue Cycle Track (RWC Transit Center to Elwood Street)	Y	2026-27	\$1,160,000	25%	\$290,000	[1]
Bay Road Cycle Track (Woodside Road to Florence Street)	Y	2027-28	\$2,970,000	25%	\$742,500	[1]
Seaport Boulevard Path (Blomquist Street to Broadway)	Y	2027-28	\$5,000,000	25%	\$1,250,000	[1]
Jefferson Avenue Operational Improvements	Y	2025-26	\$400,000	25%	\$100,000	[1]
Middlefield Road & Jefferson Avenue Operational Improvement	Y	2024-25	\$55,000	100%	\$55,000	[1]
Middlefield Road & Main Street Operational Improvement	Y	2024-25	\$85,000	100%	\$85,000	[1]
Veterans Boulevard & Whipple Avenue Operational Improvement	Y	2025-26	\$170,000	87%	\$147,000	[1]
Bay Road & Douglas Avenue Operational Improvement	Y	2027-28	\$1,035,000	91%	\$946,000	[1]
Broadway & Second Avenue Operational Improvement	Y	2027-28	\$1,015,000	98%	\$991,000	[1]
Veterans Boulevard & Hansen Way Operational Improvement	Y	2027-28	\$1,015,000	89%	\$899,000	[1]
US 101/Woodside Road Interchange	Y	2028-29	\$184,000,000	24%	\$44,186,000	[1]
Redwood City Bike Lanes	Y	2028-29	\$1,170,000	25%	\$73,125	[1]
Redwood City Bike Boulevards	Y	2028-29	\$2,125,000	25%	\$132,812	[1]
TOTAL			\$204,260,000	25%	\$50,912,437	

[1] Measure A (262), Capital Outlay fund (357), Developer Contribution and Other Grants (264).

Park Impact Fee

It is not required that the City make findings related to the Park Impact Fee because the Parks Impact Fee Account has a negative balance as of the end of the fiscal year. However, the fee program is expected to continue to generate revenue, and the Parks Impact Fee Program CIP was recently updated and reflects the City's current priorities for future capital projects. For these reasons, the City is electing to make findings related to the Parks Impact Fee Account.

- The purpose of the Parks Impact Fee is to augment recreational opportunities through the improvement of parks, as defined in Section 18.257 of the City's Municipal Code, in order to compensate for increased demand for City facilities and services brought about by new development and the associated increase in population.
- In FY 2022/23, the City's service standard was 2.75 acres of park area for every 1,000 residents/resident-equivalents. The City established the proportionate use of and demand for parks by residents and workers in the City. These established standards/needs and metrics ensure a reasonable relationship between the land uses paying the fees and the identified public facilities. The reasonable relationship between the Parks Impact Fee and the purpose for which it is charged is demonstrated in the adopted Nexus Analysis for Redwood City Park Fee Update (2022 Study).
- Collected fees will be used for land acquisition for new parks (e.g., Downtown Neighborhood and Mt. Carmel/ Eagle Hill/ Edgewood Neighborhoods) and the conversion of traffic islands to pocket parks, as well as capacity-enhancing improvements to existing parks and recreation centers, and synthetic turf projects. All identified improvements are needed to mitigate the impacts of future development on the City's park and recreation network. Each project is listed below in **Table 26**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 26 Parks Impact Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
MISCELLANEOUS PARK PROJECTS						
85087 Downtown Park Planning/ Construction	Y	2026	\$7,000,000	100%	\$7,000,000	[1]
Bay Front Park	Y	2026	\$6,000,000	75%	\$4,500,000	[1]
85074 Community Garden - Maple/ Lathrop	N	Funding Contingent	\$500,000	100%	\$500,000	[1]
SYNTHETIC TURF PROJECTS						
Roosevelt School Synthetic Turf Project	Y	2030	\$1,500,000	50%	\$750,000	[1]
John Gill School Synthetic Turf Project	Y	2030	\$1,500,000	50%	\$750,000	[1]
Taft School Synthetic Turf Project	Y	2030	\$1,500,000	50%	\$750,000	[1]
Garfield School Synthetic Turf Project	Y	2030	\$2,000,000	50%	\$1,000,000	[1]
LAND ACQUISITION & DEVELOPMENT OPTIONS						
Downtown Neighborhood (4,185) -Land	N	2030	\$48,046,698	100%	\$48,046,698	[1]
Downtown Neighborhood (4,185) -Development	N	2030	\$24,860,000	100%	\$24,860,000	[1]
Friendly Acres Neighborhood (4,185) -Land	N	2030	\$6,629,130	100%	\$6,629,130	[1]
Friendly Acres Neighborhood (4,185)-Development	N	2030	\$3,430,000	100%	\$3,430,000	[1]
Redwood Oaks Neighborhood (4,852) -Land	N	2030	\$52,205,849	100%	\$52,205,849	[1]
Redwood Oaks Neighborhood (4,852) -Development	N	2030	\$27,012,000	100%	\$27,012,000	[1]
Mt Carmel/Eagle Hill/Edgewood Neighborhoods (8,511) -Land	N	2030	\$89,920,381	100%	\$89,920,381	[1]
Mt Carmel/Eagle Hill/Edgewood Neighborhoods (8,511) -Development	N	2030	\$46,526,000	100%	\$46,526,000	[1]
Centennial Neighborhood (3,116) -Land	N	2030	\$30,760,710	100%	\$30,760,710	[1]
Centennial Neighborhood (3,116) -Development	N	2030	\$15,916,000	100%	\$15,916,000	[1]
Canyon Neighborhood (1,227) -Development	N	2030	\$6,082,000	100%	\$6,082,000	[1]
Improvements Next To Existing City Parks: Dove Beeger, Fleischman, Garrett, Hawes, Jardin, Linden, Maddux, Palm, Stafford, Red Morton, Stulsaft, Union Cemetery, Westwood -Land	Y	Funding Contingent	\$6,082,000	100%	\$6,082,000	[1]
City Wide (84,292) -Land	Y	2030	\$201,684,037	100%	\$201,684,037	[1]
City Wide (84,292) -Development	Y	2030	\$104,354,000	100%	\$104,354,000	[1]
CONVERT TRAFFIC ISLANDS TO POCKET PARKS						
Laurie Duncan Parkway	N	Funding Contingent	\$1,480,000	100%	\$1,480,000	[1]
Buckeye Corner	N	Funding Contingent	\$260,000	100%	\$260,000	[1]
Dinghee Circle	N	Funding Contingent	\$580,000	100%	\$580,000	[1]
AMENITY IMPROVEMENTS						
73853 City Wide Play Equipment Program	Y	Ongoing	\$1,250,000	60%	\$750,000	[1]
Recreation Facility Program	Y	Ongoing	\$1,250,000	60%	\$750,000	[1]
Garrett Park Restroom	N	Funding Contingent	\$400,000	100%	\$400,000	[1]
Dove Beeger Park Restroom	N	Funding Contingent	\$400,000	100%	\$400,000	[1]
Palm Park Restroom	N	Funding Contingent	\$1,400,000	100%	\$1,400,000	[1]
Pathway Improvements	Y	Ongoing	\$500,000	60%	\$300,000	[1]
Park Shade Structures	N	Funding Contingent	\$100,000	100%	\$100,000	[1]
Tot Lot Amenities (various parks)	Y	Ongoing	\$2,000,000	100%	\$2,000,000	[1]
Porta Play Rotating Play Features	N	Funding Contingent	\$2,000,000	100%	\$2,000,000	[1]
Athletic Field Lights	N	Funding Contingent	\$2,500,000	100%	\$2,500,000	[1]
PARK RENOVATION PROJECTS						
Garrett Park Expansion / Renovation	Y	2025	\$6,082,000	100%	\$6,082,000	[1]
Spinas Park Renovation	Y	2025	\$2,000,000	100%	\$2,000,000	[1]
Union Cemetery Renovation	Y	Funding Contingent	\$150,000	100%	\$150,000	[1]
Armory Recreation Center Renovation	Y	2025	\$1,000,000	100%	\$1,000,000	[1]
Redwood Shores Playground	Y	2024	\$500,000	100%	\$500,000	[1]
Roselli Garden Renovation		2026	\$1,000,000	100%	\$1,000,000	[1]
Jardin de Ninos Park Expansion	Y	2024	\$300,000	100%	\$300,000	[1]
SPORTS COMPLEX PROJECTS						
Small Sports Complex (4 Basketball/ 2 Soccer)	N	Funding Contingent	\$52,788,438	100%	\$52,788,438	[1]
Medium Sports Complex (8 Basketball/ 4 Soccer)	N	Funding Contingent	\$105,576,876	100%	\$105,576,876	[1]
Large Sports Complex (12 Basketball/ 6 Soccer)	N	Funding Contingent	\$175,961,460	100%	\$175,961,460	[1]
TOTAL			\$1,042,987,580	99%	\$1,037,037,580	

[1] Capital Outlay Fund (Fund 357) or In-Kind Developer Contributions.

Affordable Housing Impact Fee

- The purpose of the Affordable Housing Impact Fee is to (1) enhance the public welfare by imposing an affordable housing impact fee whereby developers of nonresidential development and small residential (5 to 19 units) projects will mitigate the impacts of their projects on the need for affordable housing by contributing to the supply of housing for households with extremely low, very low, low, and moderate incomes; and (2) implement the Housing Element by creating a mechanism to provide benefits to the community from new development in the form of affordable housing, thereby helping to meet the needs of all socioeconomic elements of the community as provided in the Housing Element.
- The Affordable Housing Impact Fee is set to a level which ensures that future development projects mitigate their impact on the need for affordable housing in Redwood City, and to ensure that any adopted housing impact fees do not exceed the actual affordable housing impacts attributable to the development projects to which the fees relate. This reasonable relationship between the fee and the purposes for which it is charged is reflected in the Residential Impact Fee Nexus Study and Commercial Linkage Fee Nexus Study (together, the "2015 Nexus Study"). To ensure that development projects remain economically feasible, the recommended housing impact fees are lower than the maximum amount needed to fully mitigate the burdens created by new development on the need for affordable housing as determined by the Nexus Study.
- There is an unexpended balance in the Affordable Housing Impact Fee Account, which is expected to be used to fund the development of new affordable housing and the preservation of existing affordable housing so as not to erode the current supply (e.g., the City's Affordable Housing Preservation Program). The City funds the development of new affordable housing through the regular release of Notices of Funding Availability (NOFAs). Information about typical NOFA award amounts, the estimated start year, and other funding sources are noted below.

Table 27 Affordable Housing Impact Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Broadway Plaza	N	FY 23/24	\$20,000	100%	\$20,000	N/A
Affordable Housing Preservation Program [1]	N	FY 23/24	\$6,598,465	10%	\$630,000	Permanent Local Housing Allocation (PLHA), Former RDA LMIHF, Prohousing Designation Fund
Release of Notices of Funding Availability for New Affordable Housing [2]	N	FY 24/25	\$4,500,000	91%	\$4,100,000	Affordable Housing In-Lieu Fee
Nexus Study	N	FY 24/25	\$100,000	100%	\$100,000	N/A
TOTAL			\$11,218,465	43%	\$4,850,000	

[1] Specific projects are to be determined as preservation opportunities are identified.

[2] As funds are available, the City will issue a Notice of Funding Availability (NOFA) to solicit proposals for affordable housing projects. Specific projects are to be determined. Funding amounts awarded to projects will vary based on account balance (in the Affordable Housing Impact Fee account and the Inclusionary Housing In-Lieu Fee account) at the time of the NOFA and specific needs of the selected projects. Funding awards are typically at least \$1 million and often more.

Downtown Parking In-Lieu Fee

- The Downtown Parking In-Lieu Fee allows new developments located within the Downtown Parking Zone, subject to the eligibility requirements of the program, to provide a fee payment in lieu of providing parking spaces onsite. The fee is used to expand the capacity of parking spaces for public use within the Downtown Parking Zone and may also be used to expand parking capacity by managing demand for parking through the creation of a Transportation Demand Management program.
- An “in-lieu” fee is different than a development “impact fee” in that the fee is established as an alternative means of complying with a zoning requirement. It is voluntary in nature, meaning the developer may choose whether to comply with the zoning requirement or pay an in-lieu fee. The fee is not “imposed” on a developer by Redwood City. The City’s Zoning Code determines the number of parking spaces that a developer must provide so that new trips do not cause a negative impact on the existing parking supply, vibrancy of downtown, or public safety. Thus, a reasonable relationship between the need for public parking facilities and the type of development is already established by imposing specific parking requirements through the zoning ordinance. The amount of the parking-in lieu fee is reflected in the In-Lieu Parking Fee Study conducted for the City in 2015 and, at \$25,000 per space, does not exceed the City's actual costs of providing one parking space.
- There is an unexpended balance in the parking-in lieu fee account, which is expected to be used to fund the County Parking Garage Permit System and Program as well as costs related to the establishment of the Transportation Demand Management Program. All identified improvements are needed to mitigate the impacts of future development on the City’s supply of parking. Each project is listed below in **Table 28**. Information about the total project cost, the estimated start year, and other funding sources are noted.

Table 28 Parking In-Lieu Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Potential Other Funding Sources
County Parking Garage Permit Program	N	FY 24/25	\$4,000,000	100%	\$4,000,000	County Funds; Parking Fund
Transportation Demand Management (TDM) Initiation Costs	N	FY 23/24	\$400,000	100%	\$400,000	Transportation Demand Management (TDM) Fees; Parking Fund
Garage Parking System	Y	FY 23/24	\$600,000	100%	\$600,000	All project costs are anticipated to be funded with parking in- lieu fee revenue. No other funding sources are required.
Shared Parking Program	N	FY 24/25	\$500,000	100%	\$500,000	
Expanded Downtown Meter Zone	N	FY 25/26	\$1,500,000	100%	\$1,500,000	
Modify downtown surface parking lots (downtown park)	N	FY 26/27	\$2,500,000	100%	\$2,500,000	
TOTAL			\$9,500,000	100%	\$9,500,000	

Affordable Housing In-Lieu Fee

- The City may accept payment of an Affordable Housing In-Lieu Fee for fractional units resulting from the calculation of the City's inclusionary housing requirements. The City may also accept payments of an Affordable Housing In-Lieu Fee in place of construction of on-site units if certain findings can be made pursuant to Section 29.8.B. of the City's zoning code. Similar to the Affordable Housing Impact Fee, the purpose of the fee is to provide housing affordable to extremely low-, very low-, low-, and moderate-income households in the City, consistent with the goals and policies contained in the City's Housing Element.
- An "in-lieu" fee is different than the development "impact fee." It is voluntary in nature and is not being "imposed" on a developer by Redwood City. Furthermore, the affordable housing in-lieu fee for fractional units shall not exceed the fractional cost of providing an affordable unit. This reasonable relationship between the fee and the purpose for which it is charged is reflected in the City's Municipal Code.
- There is an unexpended balance in the Affordable Housing In-Lieu Fee Account, which is expected to be used to fund the development of new affordable housing through the regular release of Notices of Funding Availability (NOFAs). Information about typical NOFA award amounts, the estimated start year, and other funding sources are noted below in **Table 29**.

Table 29 Affordable Housing In-Lieu Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
353 Main Street Affordable Family Apartments [1]	N	FY 23/24	\$3,500,000	10%	\$350,000	RDA Low Mod, Affordable Housing Impact Fee
Release of Notices of Funding Availability for New Affordable Housing [2]	N	FY 24/25	\$4,500,000	9%	\$400,000	Affordable Housing Impact Fee
TOTAL			\$8,000,000	9%	\$750,000	

[1] A \$3.5 million residual receipt loan was provided to the 353 Main St. project comprised of RDA Low Mod funds (\$2,410,325), Affordable Housing Impact Fees (\$512,414) and Housing In-Lieu Fees (\$577,261). The loan was provided in FY 21-22; however, a 10% contingency of \$350,000 (from Housing In-lieu Fees) was withheld until project completion. The contingency payment is expected to be made in FY 23-24.

[2] As funds are available, the City will issue a Notice of Funding Availability (NOFA) to solicit proposals for affordable housing projects. Specific projects are to be determined. Funding amounts awarded to projects will vary based on account balance (in the Affordable Housing Impact Fee account and the Inclusionary Housing In-Lieu Fee account) at the time of the NOFA and specific needs of the selected projects. Funding awards are typically at least \$1 million and often more.

Art in Public Places In-Lieu Fee

- The Art-in-Public Places In-Lieu Fee allows new commercial developments exceeding 50,000 square feet to make a payment instead of installing on-site art. The fee revenue, when collected, is used to fund the provision of public art within the City. Major commercial developments can be iconic representations of the City's identity, and in establishing the Public Art Fund, the City declared the following:
 - (a) public art is a valuable means of promoting vibrancy, defining cultural uniqueness, building community, and improving the quality of life in the City;
 - (b) the environment, image, and character of the City would be improved by public art;
 - (c) public art helps make cities more livable and more visually stimulating;
 - (d) the presence of and access to public art enlivens the public areas of buildings and their grounds and makes them more welcoming;
 - (e) public art can illuminate the diversity and history of a community, create/nurture/promote positive community interactions and conversation, and foster the economic development of the community.
- No in-lieu fee revenue has been collected from developers since the Art In-Lieu fund was established, and, therefore, the five-year findings are not required. There is \$0 unexpended balance from developers in the Art In-Lieu fee fund and no specific projects to be funded. If a new development pays into the fund, the revenue would be used to fund a public art installation according to the procedures outlined in the enabling Ordinance.

Water and Wastewater Capacity and Facility Fees

The water and wastewater capacity and facility fees are subject to the reporting requirements in Government Code section 66013(d), rather than the requirements in sections 66006(b) and 66001(d). Since the information required by sections 66006(b) and 66001(d) largely encompasses the information required by 66013(d), the City is complying with the water and wastewater capacity and facilities fee reporting requirements by including them in the prior section of this AB 1600 report.

In addition to reporting on future projects, the following sections specifically satisfy Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year (FY 2023/24).

Wastewater Treatment Capacity Fee

Wastewater Treatment Capacity fees are passed through to Silicon Valley Clean Water at the close of the fiscal year. As such, the Water Treatment Capacity account balance is \$0 each year, and the City does not control project-specific expenditures and cannot report on public improvements anticipated to be undertaken in FY 2023/24.

Wastewater Facilities Fee

The following section identifies future projects and also specifically satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year.

- The Wastewater Facilities Fee was established to provide for the use and construction of existing and future sanitary sewerage system capital facilities so that the facilities can accommodate the impacts of new development. Specifically, the purpose of the Wastewater Facilities Fee is to fund the construction, and improvement of existing and future sewer facilities such as treatment plants, pipelines, or other facilities.
- The City charges a Wastewater Facilities Fee to provide for the use and construction of existing and future sanitary sewerage system capital facilities in accordance with the City's Capital Improvements Program adopted by the City Council. The fees are based on an average cost approach under which new or expanded developments would fund their proportionate share of costs for existing and planned wastewater system facilities and assets.
- There is an unexpended balance in the Wastewater Facilities Fee account which is expected to be used to fund capacity expansion projects including the Veterans Sewer Interceptor the Walnut Street Sewer Interceptor, pump station improvements, and upsizing of the C3 Sewer Trunk Main. All identified improvements are needed to mitigate the impacts of future development on the City's wastewater facilities. Each project is listed below in **Table 30**. Information about the total project cost, the estimated start year, and other funding sources are noted.
- None of the identified projects are expected to commence in FY 2023/24, however, they are all expected to commence within the next five years.

Table 30 Wastewater Facilities Fee Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Veterans Sewer Interceptor Capacity Improvement	Y	Next 5 Years	\$1,000,000	100%	\$1,000,000	All total project costs will be funded with fee revenue. No other funding sources are required.
Walnut Street Sewer Interceptor Capacity Improvement	Y	Next 5 Years	\$4,000,000	100%	\$4,000,000	
Sanitary Sewer Pump Station Improvements	Y	Next 5 Years	\$2,000,000	100%	\$2,000,000	
Capacity Project C3 Sewer Trunk Main Upsizing (36")	Y	Next 5 Years	\$6,300,000	100%	\$6,300,000	
Maple Street Pump Station Outfall (60")	Y	Next 5 Years	\$3,000,000	100%	\$3,000,000	
TOTAL			\$16,300,000	100%	\$16,300,000	

Water Capacity Fee

The following section identifies future projects and also specifically satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year.

- The Water Capacity Fee is a one-time charge that the City imposes on residential and non-residential customers to provide for capital facilities that improve the City's ability to supply water within the City's service area, by increasing the supply available and reducing demand for potable water.
- The fees are based on an average cost approach under which new or expanded developments would fund their proportionate share of costs for existing and planned water capacity improvements.
- There is an unexpended balance in the Water Capacity Fee Account, which is expected to be used to fund capacity expansion projects including the Phase 2 Extension of the Recycled Water Distribution System, capacity expanding improvements to the Main City Recycled Water Tank and Pump Station, and other Recycled Water Quality Improvements that reduce demand for potable water.
- All identified improvements are needed to mitigate the impacts of future development on the City's water capacity. Each project is listed below in **Table 31**. Information about the total project cost, the estimated start year, and other funding sources are noted. None of the identified projects are expected to commence in FY 2023/24, however, they are all expected to commence within the next five years.

Table 31 Water Capacity Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Recycled Water Distribution System Phase 2 Extension	Y	Next 5 Years	\$13,500,000	100%	\$13,500,000	All total project costs will be funded with fee revenue. No other funding sources are required.
Main City Recycled Water Tank and Pump Station	Y	Next 5 Years	\$10,000,000	100%	\$10,000,000	
Recycled Water Quality Improvements	Y	Next 5 Years	\$200,000	100%	\$200,000	
Annual Bond Repayments for Recycled Water Facilities [1]	Y	Annual	\$3,000,000	25%	\$750,000	Water rate revenue enterprise funds
TOTAL			\$26,700,000	92%	\$24,450,000	

[1] Includes annual bond repayments for recycled water facilities such as tanks and pipe extensions estimated at \$3 million per year, of which 25% is paid for by fee revenue. Total project costs are based on repayment schedule.

Water Facilities Fee

The following section identifies future projects and also specifically satisfies Government Code Section 66013(d)(4)(C) by identifying each public improvement that is anticipated to be undertaken in the following fiscal year.

- The Water Facilities Fee is a one-time charge that is imposed on new development that was established to provide for the use and construction of existing and future water system capital facilities so that the facilities can accommodate the impacts of new development. In addition to the Citywide Water Facilities Fee, the City also collects fair share contributions from projects, which are used to fund improvements that are of proportionate benefit to new development and are funded by the Water Facilities Fee program. Eligible expenditures are included in the City's CIP and include the construction and improvement of existing and future water facilities.
- The fees are based on an average cost approach under which new or expanded developments would fund their proportionate share of costs for existing and planned water facility improvements.
- There is an unexpended balance in the Water Facilities Fee account, which is expected to be used to fund capacity expansion projects including the Distribution System Replacement Program, the Cathodic Protection Program, Pump Station and Tank Replacement, improvements to the Main City Potable Water Tank and Pump Station, and seismic improvements to the water system generally.
- All identified improvements are needed to mitigate the impacts of future development on the City's water facilities. Each project is listed below in **Table 32**. Information about the total project cost, the estimated start year, and other funding sources are noted. None of the identified projects are expected to commence in FY 2023/24, however, they are all expected to commence within the next five years.

Table 32 Water Facilities Project Identification

Project	CIP (Y/N)	Estimated Start Year	Total Project Costs	% Funded with Fee Revenue	Amount Funded with Fee Revenue	Other Funding Sources
Distribution System Replacement Program	Y	Next 5 Years	\$27,000,000	100%	\$27,000,000	All total project costs will be funded with fee revenue. No other funding sources are required.
Cathodic Protection Program	Y	Next 5 Years	\$600,000	100%	\$600,000	
Water System Seismic Improvement Program	Y	Next 5 Years	\$4,000,000	100%	\$4,000,000	
Pump Station and Tank Replacement	Y	Next 5 Years	\$14,000,000	100%	\$14,000,000	
Main City Potable Water Tank and Pump Station	Y	Next 5 Years	\$30,000	100%	\$30,000	
TOTAL			\$45,630,000	100%	\$45,630,000	